The Unemployment Rate Fell to 6.5% in January. Yet Employment Fell by 25,000.

Statistics Canada's latest Jobs Report shows a decline in the unemployment rate from 6.8% in December to 6.5% in January 2026. At first sight, it might look like the economy is getting better. A lower unemployment rate usually means higher labour demand and improving economic conditions.

However, this month's decline is more complicated than it looks.

A closer look at the economic indicators like the employment rate and labour force reveals that the improvement in the unemployment rate was not driven by job growth, but rather by a smaller labour force: fewer people were working or looking for work.

To understand why this matters, it is essential to understand the mechanics of how the unemployment rate is calculated.

The Math Behind the Drop

An unemployment rate can fall for two fundamentally different reasons:

1. More people become employed, or
2. Fewer people participate in the labour force.

January reflects the second case.

As shown in **Chart 1**, total employment actually declined slightly from December to January. Employment fell from 21,146.0 thousand to 21,121.2 thousand, a net decline of about 25 thousand. Under normal circumstances, a decline in employment would lead to an increase in unemployment.

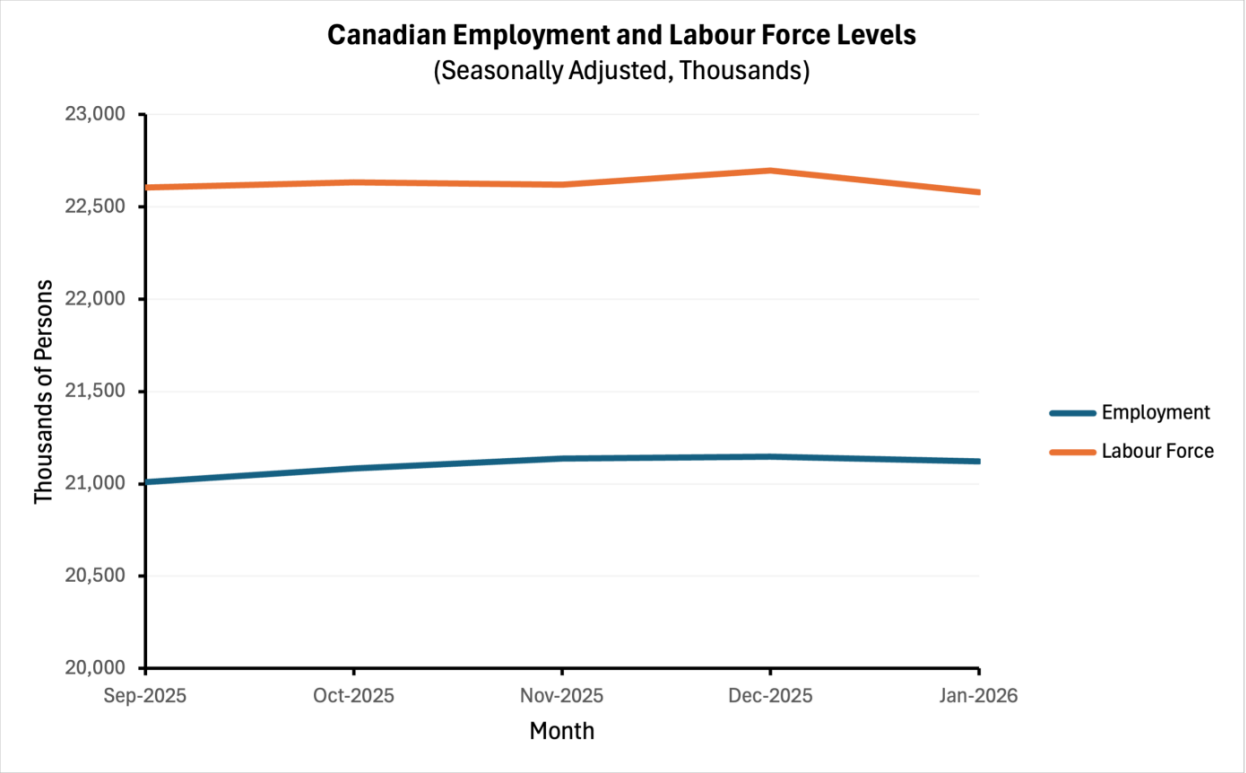
Yet unemployment fell.

The explanation lies in the labour force numbers. Over the same period, the labour force dropped significantly, from 22,697.7 thousand in December to 22,578.7 thousand in January, a decline of nearly 119,000 people. Because unemployment equals the labour force minus employment, the fall in unemployment (1,551.7 thousand to 1,457.5 thousand, about 94 thousand) is exactly the 119 thousand drop in the labour force less the 25 thousand drop in employment. None of the improvement came from net job gains.

The formula used to calculate the unemployment rate:

Unemployment Rate = Unemployment / Labour Force

This formula illustrates that the unemployment rate falls whenever unemployment falls faster than the labour force, including when people leave the labour force without having found work.

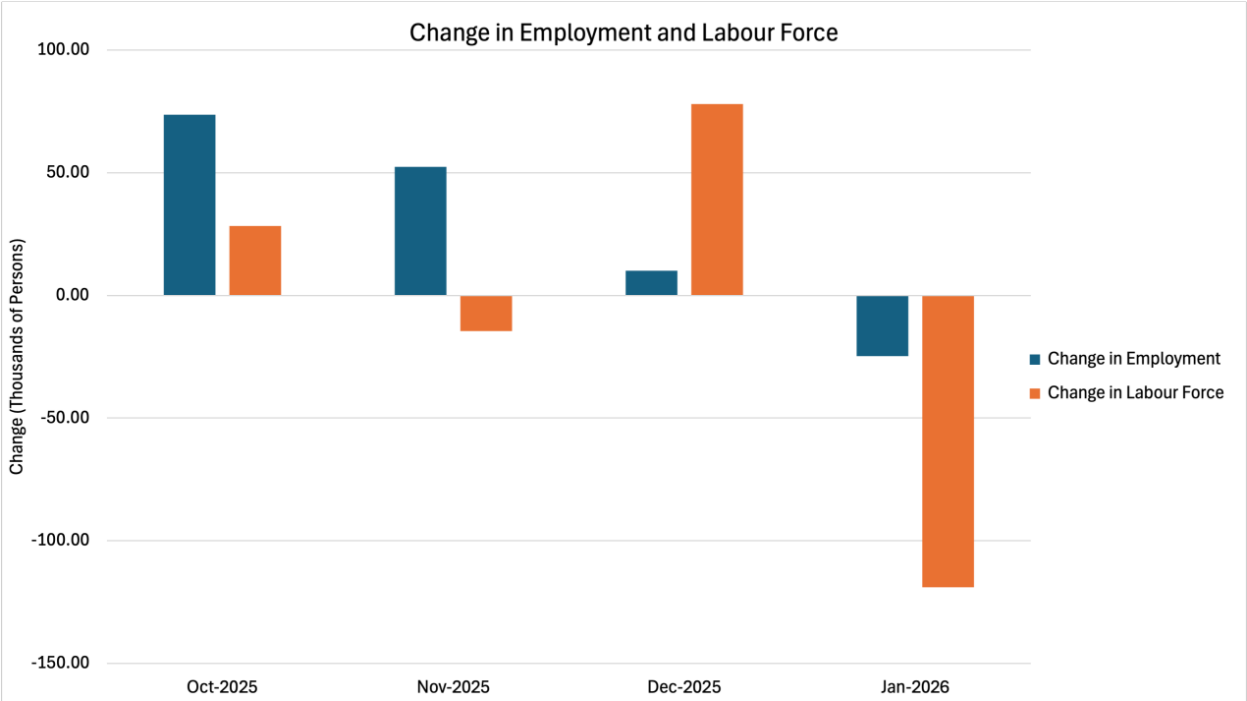


Why the Unemployment Rate Fell Despite Weaker Employment

The unemployment rate fell from 6.8% to 6.5% because unemployment itself declined from 1,551.7 thousand to 1,457.5 thousand. The issue is that it did not happen because more people found a job: employment fell over the same period, while the labour force shrank by far more than employment did. This suggests that much of the decline reflects people leaving the labour force rather than people finding work.

When individuals stop actively searching for work, they are no longer counted as unemployed. Instead, they are categorized as “not in the labour force.” The result is a reduction in the unemployment rate.

This kind of decline could reflect discouragement or short-term volatility. The data used here (seasonally adjusted) cannot tell these explanations apart, so the cause of the exit is not established.

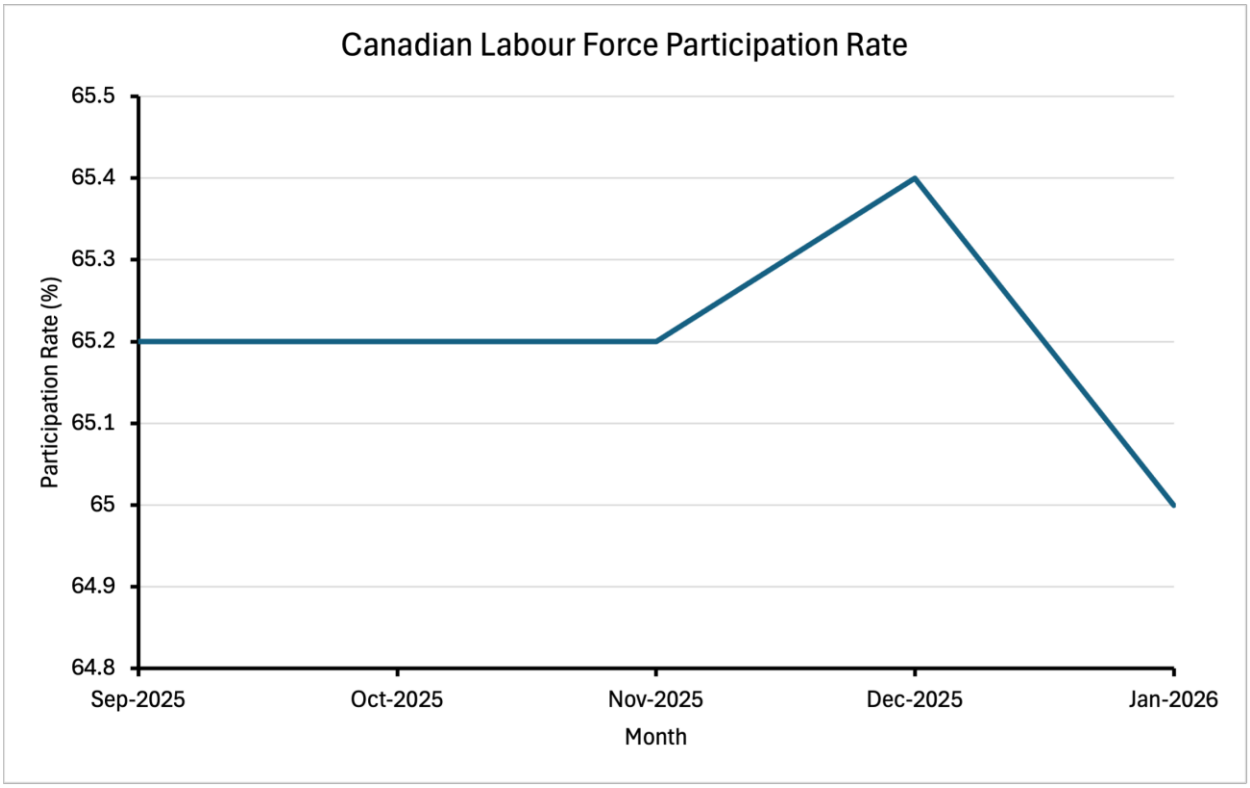


The Participation Rate: A Better Indicator of Economic Health

Further evidence supporting this interpretation can be found in the labour force participation rate.

If the unemployment rate declines due to improving job opportunities, participation usually rises or remains stable as more individuals are drawn into the workforce. However, when unemployment falls because people stop searching, participation declines.

You can see in the chart below the sudden decline in participation rate from 65.4% to 65.0%. You can also see that in the previous months the participation rate was consistently at 65.2%.



A Falling Rate, But Not a Stronger Market

Therefore, January's unemployment decline should be viewed with caution. The unemployment rate has dropped not because more Canadians found work, but because the labour force shrank by nearly 119,000 people.

Unlike December, when both employment and participation expanded, last month showed a decline in both indicators. Employment fell modestly, but the unemployment rate improved, a statistical byproduct of a shrinking labour force, not evidence of a healthier job market.

A genuine recovery requires rising employment and stable or increasing labour force participation. January delivered neither.

The unemployment rate may have fallen, but it is important to understand the reasons behind it.